Case Study – Liquidity Risk

Resource Requirements Planning – FY 2026

IESEG School of Management
Master Risk, Compliance and Data Analytics

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1. Context

Our entity, a subsidiary of a banking group, must plan its refinancing needs for the fiscal year 2026. As it cannot directly access financial markets due to its size, it is funded exclusively by its parent company through bullet loans at fixed rates, with standardised maturities of 1, 3, 5 and 10 years.

Planned (budgeted) operations benefit from a margin of 50 bp. However, any unbudgeted funding entails an additional cost of 150 bp. Moreover, a penalty applies if a planned borrowing is not drawn. The objective is therefore to optimise the refinancing plan while complying with the coverage ratios imposed by the group.

2. Starting Data

2.1 Simplified Balance Sheet as at 31/12/2025

ASSETS	EUR m
Euribor Placement	50
Fixed-Rate Loans	500
Floating-Rate Loans	400
Net NPLs	50
TOTAL	**1,000**

LIABILITIES	EUR m
Group Borrowing	900
Equity	100
TOTAL	**1,000**

2.2 Planned Commercial Activity for 2026

- Fixed-rate loans, 10-year maturity, amortised in 10 equal annual principal instalments: EUR 400m
- Floating-rate loans, 5-year maturity, amortised in 5 equal annual principal instalments: EUR 200m

2.3 Group Coverage Standards

Maturity	1 year	2 years	3 years	4 years	5 years +
Minimum rate	80%	75%	70%	65%	60%

3. Methodology

3.1 Construction of the Projected Schedule

We first projected asset and liability outstanding amounts year by year, incorporating: the amortisation of existing stock (contractual schedule), new loans (EUR 400m fixed-rate over 10 years and EUR 200m floating-rate over 5 years, both amortised in equal annual principal instalments), and repayments of group borrowings.

3.2 Coverage Gap Calculation

For each year, we computed the coverage ratio before new borrowings (= Existing Liabilities / Total Assets) and compared this ratio to the minimum required by the group. The positive difference determines the volume of resources to obtain. Years where the coverage ratio already exceeds the minimum do not require new borrowings.

3.3 Treasury Safety Margin

We added a safety margin comprising two elements: 10% of new loan disbursements (production irregularity), and 8% of expected repayment flows in 2026 (default risk on EUR 250m). This increases the uses to be covered and hence the refinancing needs.

4. Results – Summary Table

The table below is extracted from our Excel model. It shows the evolution of outstanding amounts, coverage ratios, gaps to fill and borrowings to plan:

	2,025	2,026	2,027	2,028	2,029	2,030	2,031	2,032	2,033	2,034	2,035
Crédits à TF Stock	500	450	350	300	250	150	100	50	-	-	-
Crédits à TV Stock	400	350	300	300	250	250	150	100	-	-	-
Crédits à TF Réalisation	-	400	360	320	280	240	200	160	120	80	40
Crédits à TV Réalisation	-	200	160	120	80	40	-				
Placements	50	-	-	-	-	-	-	-	-	-	-
CDL Net	50	45	40	35	30	25	20	15	10	5	-
TOTAL ACTIF	1,000	1,445	1,210	1,075	890	705	470	325	130	85	40
Emprunt	900	850	650	550	450	350	250	200	-	-	-
Fonds Propres	100	100	100	100	100	100	100	100	100	100	100
TOTAL PASSIF	1,000	950	750	650	550	450	350	300	100	100	100
Taux de Couverture avant emprunt		65.7%	62.0%	60.5%	61.8%	63.8%	74.5%	92.3%	76.9%	117.6%	250.0%
Taux limite		100%	80%	75%	70%	65%	60%	60%	60%	60%	60%
A couvrir		34.3%	18.0%	14.5%	8.2%	1.2%	-14.5%	-32.3%	-16.9%	-57.6%	-190.0%
Ressource à obtenir		495	218	156	73	8	- 68	- 105	- 22	- 49	- 76
Nouveaux emprunts		495	218	156	73	-	-	-	-	-	-
Marge de sécurité trésorerie		80	52	44	36	28	20	16	12	8	4
10% des réalisations		60	52	44	36	28	20	16	12	8	4
8% des flux impayés		20									
Emplois avec marge de sécurité		1,525	1,262	1,119	926	733	490	341	142	93	44
Couverture à prévoir		80	42	33	25	26	- 56	- 95	- 15	- 44	- 74
Ressource à obtenir	-	**575**	**260**	**189**	**98**	**26**	**- 56**	**- 95**	**- 15**	**- 44**	**- 74**
Nouveaux emprunts ajustés des marges	0	**575**	**260**	**189**	**98**	**26**					

Emprunts à prévoir à 5 années	**100**
Emprunts à prévoir à 3 années	**160**
Emprunts à prévoir à 1 année	**315**

Figure 1: Excel Model – Projected schedule and refinancing needs calculation

4.1 Recommended Borrowing Plan

After adjusting for safety margins, the resource requirements to cover over the initial years are:

Horizon	Amount	Detail
5 years	EUR 100m	Long-term coverage of 10-year FR loans
3 years	EUR 160m	Medium-term coverage (2027-2028)
1 year	EUR 315m	Short-term coverage (2026)

TOTAL	**EUR 575m**	

The total of EUR 575m corresponds to the 2026 requirement including safety margins. The allocation favours shorter maturities to minimise costs (50 bp margin over a shorter duration = lower interest cost).

5. Additional Information Required

To refine our cash management plan, we are missing:

- The market yield curve (swap or OIS) for 1, 3, 5 and 10-year maturities, in order to calculate the exact cost of each borrowing
- The precise quarterly production schedule for new loans (intra-annual breakdown of the EUR 400m FR and EUR 200m FL)
- Interest flows on existing stock (loans and borrowings) to build a complete cash management plan
- The NPL profile: recovery pace or write-off schedule
- Any additional regulatory constraints (LCR, NSFR) applicable to the entity

6. Conclusion

Our refinancing plan provides for requesting EUR 575m in borrowings from the parent company for 2026, split across 3 facilities (1 year, 3 years, 5 years) to optimise cost while meeting coverage ratios. Safety margins (defaults and production irregularity) have been incorporated to limit the risk of supplementary operations at 150 bp. This plan will need to be refined once market rates and the quarterly production schedule are known.